

Cash, Fraud, and Internal Controls

Chapter 8

Chapter 8 Learning Objectives

CONCEPTUAL

C1 Define internal control and identify its purpose and principles.

C2 Define cash and cash equivalents and explain how to report them.

ANALYTICAL

A1 Compute the days' sales uncollected ratio and use it to assess liquidity.

PROCEDURAL

P1 Apply internal control to cash receipts and disbursements.

P2 Explain and record petty cash fund transactions.

P3 Prepare a bank reconciliation.

P4 **Appendix 8A** Describe use of documentation and verification to control cash disbursements.

Learning Objective

C1:
Define internal control and
identify its purpose and
principles.

Internal Control System

Policies and procedures managers use to:

- Protect assets.
- Ensure reliable accounting.
- Uphold company policies.
- Promote efficient operations.



Sarbanes-Oxley Act (SOX)

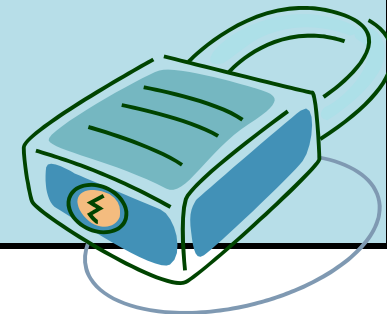
The Sarbanes-Oxley Act requires managers and auditors of public companies to document and certify the system of internal controls.

Section 404 of SOX requires that managers document and assess the effectiveness of all internal control processes that can impact financial reporting.

Principles of Internal Control

Internal control principles common to all companies:

1. Establish responsibilities.
2. Maintain adequate records.
3. Insure assets and bond key employees.
4. Separate recordkeeping from custody of assets.
5. Divide responsibility for related transactions.
6. Apply technological controls.
7. Perform regular and independent reviews.



Technology, Fraud, and Internal Control

**Reduced
Processing
Errors**

**Limited
Evidence of
Processing**



**More
Extensive Testing
of Records**

**Separation of
Duties**

**Increased
E-Commerce**

Limitations of Internal Control

Human Error

Negligence
Fatigue
Misjudgment
Confusion

Human Fraud

Intent to
defeat internal
controls for
personal gain

Human fraud triple-threat:
Opportunity, Pressure, and Rationalization

The costs of internal controls
must not exceed their benefits.

Learning Objective

C2:

Define cash and cash equivalents and explain how to report them.

Control of Cash

An effective system of internal control that protects cash and cash equivalents should meet three basic guidelines:

Handling cash is separated from recordkeeping for cash.

Cash receipts are promptly deposited in a bank.

Cash disbursements are made by check.



Cash, Cash Equivalents, and Liquidity

Cash and similar assets are called liquid assets because they can be readily used to settle such obligations.

Cash

Currency, coins, and amounts on deposit in bank accounts, checking accounts, and some savings accounts. Also includes items such as customer checks, cashier checks, certified checks, and money orders.

Cash Equivalents

Short-term, highly liquid investments that are:

1. Readily convertible to a known cash amount.
2. Close to maturity date and not sensitive to interest rate changes.

Cash Management

The goals of cash management are twofold:

1. Plan cash receipts to meet cash payments when due.
2. Keep a minimum level of cash necessary to operate.

Effective cash management involves applying the following cash management principles:

- Encourage collection of receivables.
- Delay payment of liabilities.
- Keep only necessary assets.
- Plan expenditures.
- Invest excess cash.



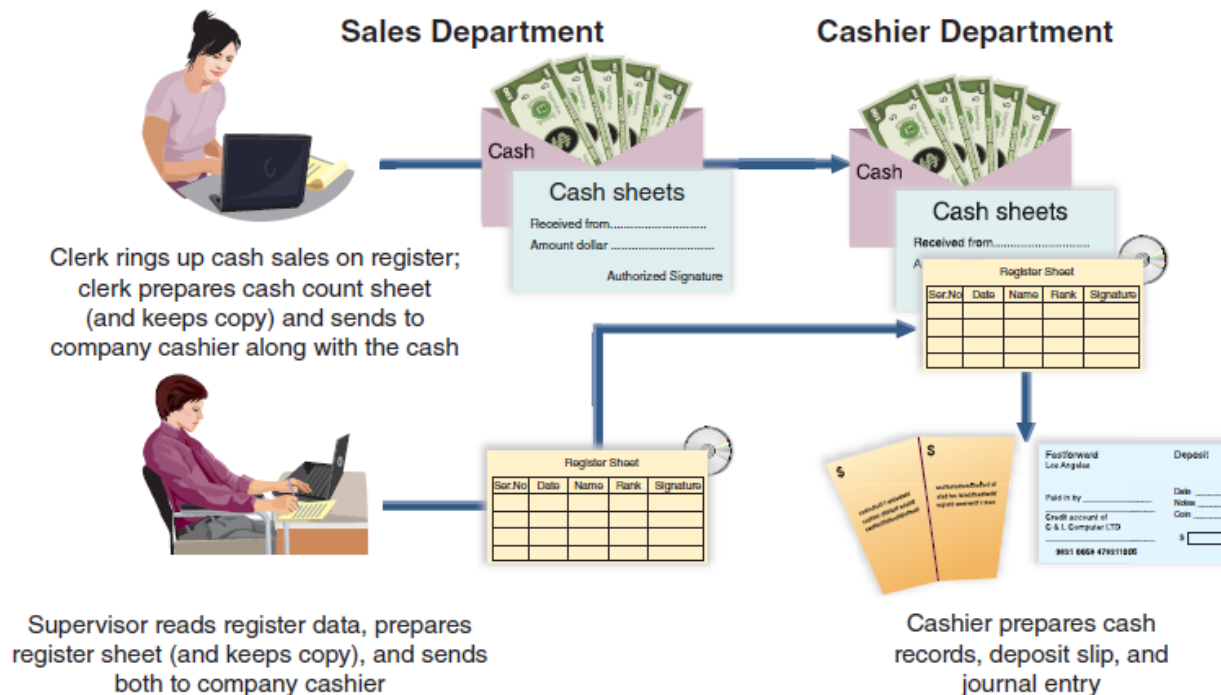
Learning Objective

P1:

Apply internal control to cash receipts and disbursements.

Over-the-Counter Cash Receipts

This graphic illustrates that none of the people involved can make a mistake or divert cash without the difference being revealed.



Cash Over and Short

Sometimes errors in making change are discovered from differences between the cash in the cash register and the record of the amount of cash receipts.

If a cash register's record shows \$550 but the count of cash in the register is \$555, we would prepare the following journal entry:

Cash	555	
Cash Over and Short		5
Sales		550
<i>To record cash sales and a cash overage.</i>		

Cash Over and Short

Sometimes errors in making change are discovered from differences between the cash in the cash register and the record of the amount of cash receipts.

On the other hand, if a cash register's record shows \$625 but the count of cash in the register is \$621, the entry to record cash sales and its shortage is:

Cash	621	
Cash Over and Short	4	
Sales		625
<i>To record cash sales and a cash shortage.</i>		

Cash Receipts by Mail

Preferably, two people are assigned the task of opening the mail.

The cashier deposits the money in a bank.

The recordkeeper records the amounts received in the accounting records.

Control of Cash Disbursements

Control of cash disbursements is especially important as most large thefts occur from payment of fictitious invoices.

Keys to Controlling Cash Disbursements

- Require all expenditures to be made by check.
- Limit access to checks except for those who have the authority to sign checks.

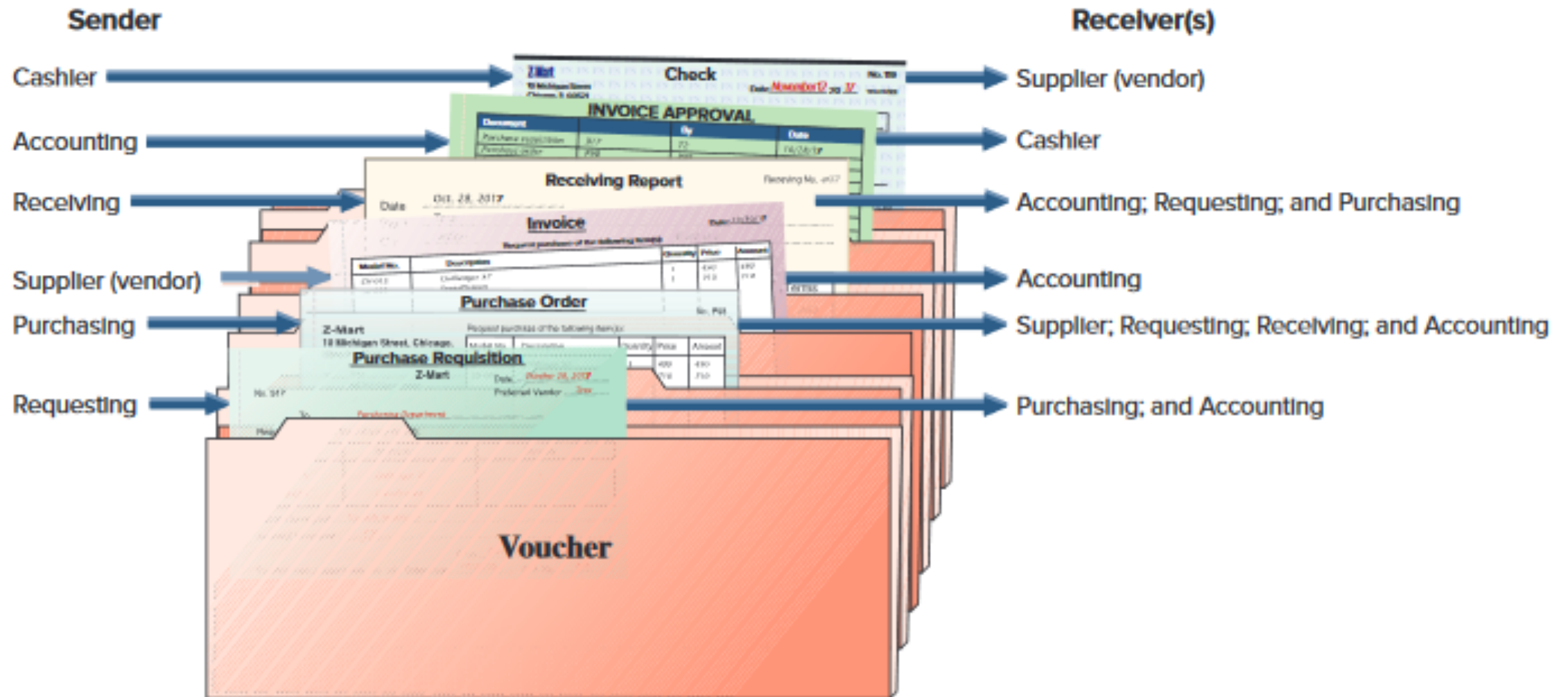
Voucher System of Control

A voucher system establishes procedures for:

1. Verifying, approving, and recording obligations for eventual cash disbursements.
2. Issuing checks for payment of verified, approved, and recorded obligations.

Voucher System of Control

Exhibit
8.1



Learning Objective

P2:

Explain and record petty cash fund transactions.

Petty Cash System of Control

Small payments required in most companies for items such as postage, courier fees, repairs, and supplies.

Operating a Petty Cash Fund

To establish a petty cash fund:
Petty Cash is debited to increase
Cash is credited to decrease

Nov. 1	Petty Cash	75	
	Cash		75
	<i>To establish a petty cash fund.</i>		

Operating a Petty Cash Fund

Summary of petty cash receipts:

Exhibit
8.3

Z-MART Petty Cash Payments Report		
Miscellaneous Expense		
Nov. 27	Tile cleaning	\$ 46.50
Merchandise Inventory (transportation-in)		
Nov. 5	Transport of merchandise purchased	15.05
Delivery Expense		
Nov. 18	Customer's package delivered	5.00
Office Supplies Expense		
Nov. 15	Purchase of office supplies immediately used	<u>4.75</u>
Total		<u><u>\$71.30</u></u>

Reimbursement of Petty Cash Fund

Cash payments report is used in making the journal entry to reimburse the fund.
Debit each of the expenses and credit Cash.

Nov. 27	Miscellaneous Expenses	46.50	
	Merchandise Inventory	15.05	
	Delivery Expense	5.00	
	Office Supplies Expense	4.75	
	Cash		71.30
	<i>To reimburse petty cash.</i>		

Increasing or Decreasing a Petty Cash Fund

To increase, debit Petty Cash and credit Cash.

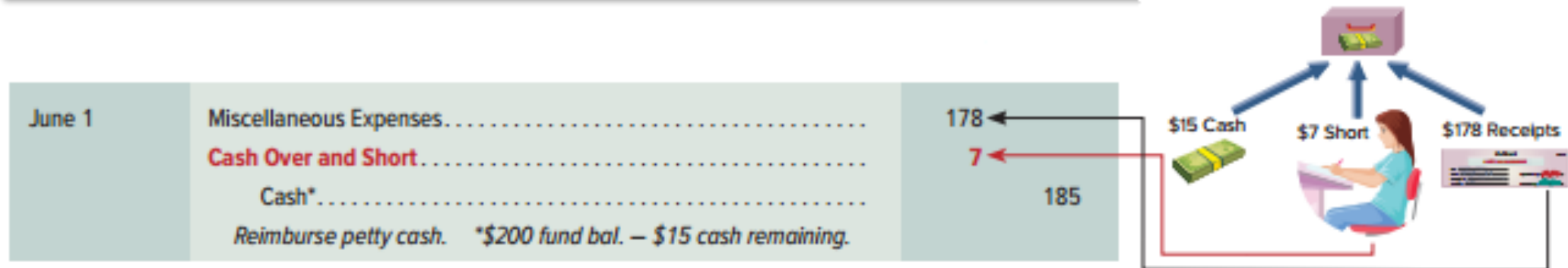
Nov. 27	Petty Cash	25	
	Cash		25
	<i>Increase the petty cash fund amount from \$75 to \$100.</i>		

To decrease, debit Cash and credit Petty Cash.

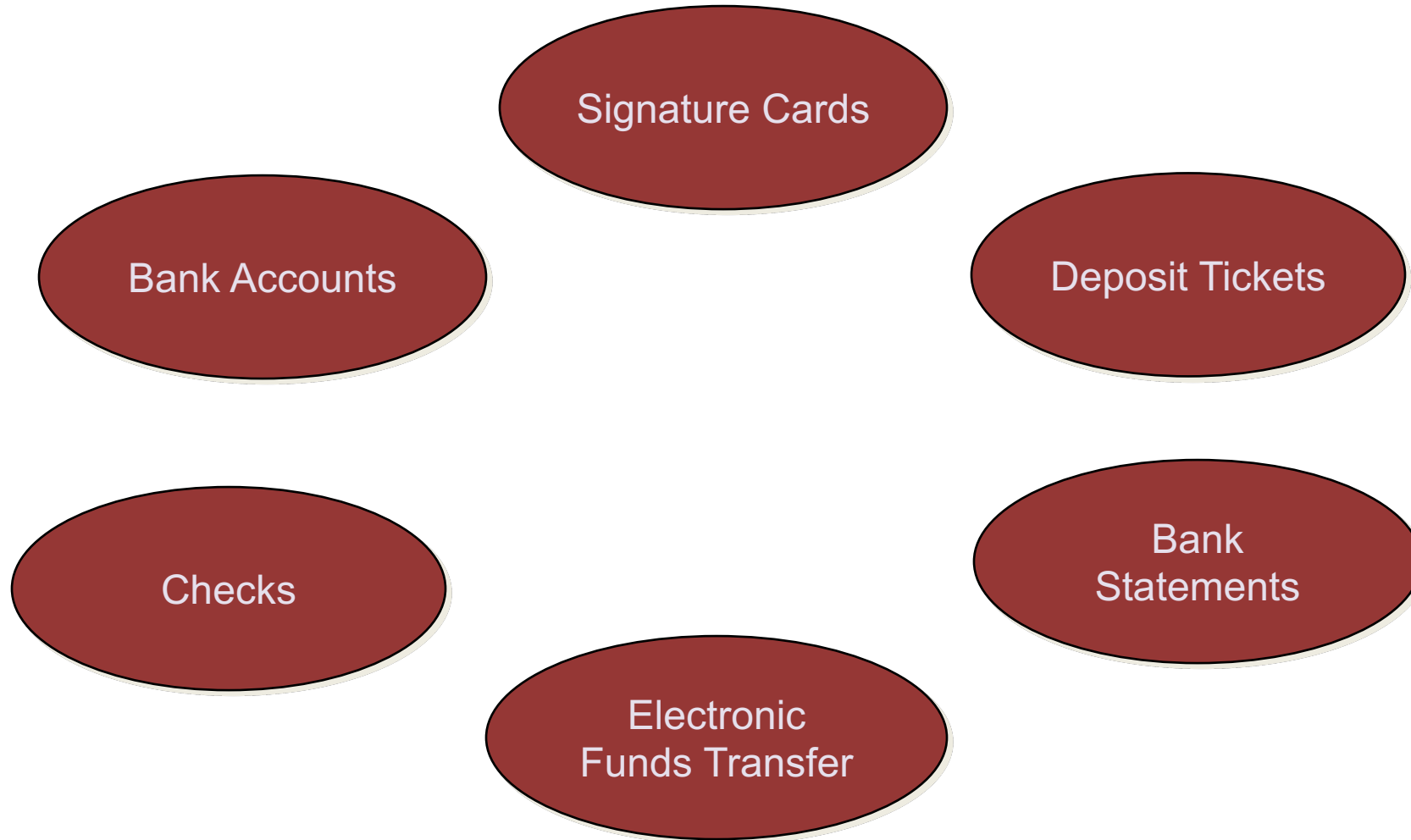
Nov. 27	Cash	20	
	Petty Cash		20
	<i>Decrease the petty cash fund amount from \$75 to \$55.</i>		

Cash Over and Short

- If petty cashier fails to obtain a receipt for payment or overpays an amount, cash over or short will result.
- Petty cash payments report plus cash left in account will not total to the fund balance.
- Difference is debited, if short, to Cash Over and Short.
- Difference is credited, if over, to Cash Over and Short.



Basic Bank Services



Bank Statement

Exhibit
8.6

FN First National
Hillcrest, New York 11750

Member FDIC

VideoBuster Company
901 Main Street
Hillcrest, NY 11749

October 31, 2017
Statement Date

494 504 2
Account Number

Previous Balance	Total Checks and Debits	Total Deposits and Credits	Current Balance
1,610	723	1,163	2,050

Checks and Debits			Deposits and Credits	
Date	No.	Amount	Date	Amount
10/03	121	375	10/02	240
10/12		23 DM	10/15	100 EFT
10/14	122	70	10/16	330
10/16	123	25 EFT	10/23	485 CM
10/23	125	15	10/31	8 IN
10/25		20 NSF 10 DM		
10/26	127	185		

Debits decrease bank's liability to depositor

Credits increase bank's liability to depositor

Symbols: **CM**—Credit Memo **EC**—Error Correction **NSF**—Non-Sufficient Funds **SC**—Service Charge
DM—Debit Memo **IN**—Interest Earned **EFT**—Electronic Funds Transfer **OD**—Overdraft

<Reconcile the account immediately.>

Usually once a month, the bank sends each depositor a bank statement showing the activity in the account.

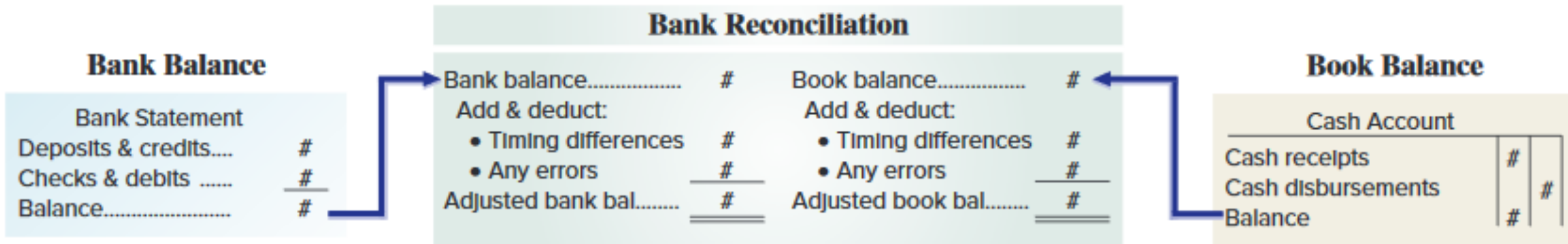
Learning Objective

P3:

Prepare a bank reconciliation.

Bank Reconciliation

A bank reconciliation is prepared periodically to explain the difference between cash reported on the bank statement and the cash balance on company's books.



Bank Reconciliation

The balance of a checking account reported on the bank statement rarely equals the balance in the depositor's accounting records.

Cash Balance per Bank		Cash Balance per <u>Book</u>
+ Deposits in Transit		+ Collections & Interest
- Outstanding Checks		- Uncollectible items
+/- Errors		+/- Errors
Adjusted Cash Balance	=	Adjusted Cash Balance

Adjusting entries are recorded for the reconciling items on the **book** side of the reconciliation.

Bank Reconciliation

Exhibit
8.7

We follow nine steps in preparing the bank reconciliation.

VIDEOBUSTER Bank Reconciliation October 31, 2017					
①	Bank statement balance.....	\$ 2,050	⑤	Book balance	\$ 1,405
②	Add		⑥	Add	
	Deposit of Oct. 31 In transit.....	<u>145</u>		Collect \$500 note less \$15 fee....	\$485
		2,195		Interest earned.....	<u>8</u> 493
③	Deduct				1,898
	Outstanding checks		⑦	Deduct	
	No. 124.....	\$150		Check printing charge	23
	No. 126.....	<u>200</u>		NSF check plus service fee	<u>30</u> 53
		350			
④	Adjusted bank balance.....	<u>\$1,845</u>	⑧	Adjusted book balance	<u>\$1,845</u>
↑ ⑨ Balances are equal (reconciled) ↑					

Bank Reconciliation

We follow nine steps in preparing the bank reconciliation.

⑤	Book balance		\$ 1,405
⑥	Add		
	Collect \$500 note less \$15 fee....	\$485	
	Interest earned.....	<u>8</u>	<u>493</u>
			1,898
⑦	Deduct		
	Check printing charge	23	
	NSF check plus service fee	<u>30</u>	<u>53</u>
⑧	Adjusted book balance		<u><u>\$1,845</u></u>

Bank Reconciliation

Exhibit
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⑨ Balances are equal (reconciled)					

Adjusting entries are recorded for the reconciling items on the book side of the reconciliation.

Bank Reconciliation

Only items reconciling the book balance require adjustment.

Oct. 31	Cash	485	
	Collection Expense	15	
	Notes Receivable		500
	<i>Record collection fee and proceeds for a note collected by the bank.</i>		
Oct. 31	Cash	8	
	Interest Revenue		8
	<i>Record interest earned on the cash balance in checking account.</i>		
Oct. 31	Miscellaneous Expenses	23	
	Cash		23
	<i>Check printing charge.</i>		
Oct. 31	Accounts Receivable—T. Woods	30	
	Cash		30
	<i>Charge Woods' account for \$20 NSF check and \$10 bank fee.</i>		

End of Chapter 8

Learning Objective

A1:

Compute the days' sales uncollected ratio and use it to assess liquidity.

Days' Sales Uncollected

Exhibit
8.9

Indicates how much time is likely to pass before we receive cash receipts from credit sales.

$$\text{Days' sales uncollected} = \frac{\text{Accounts receivable}}{\text{Net sales}} \times 365$$

Company	Figure (\$ millions)	2015	2014	2013	2012	2011
Hasbro	Accounts receivable	\$1,218	\$1,095	\$1,094	\$1,030	\$1,035
	Net sales	\$4,448	\$4,277	\$4,082	\$4,089	\$4,286
	Days' sales uncollected	100 days	93 days	98 days	92 days	88 days
Mattel	Accounts receivable	\$1,145	\$1,094	\$1,260	\$1,227	\$1,247
	Net sales	\$5,703	\$6,024	\$6,485	\$6,421	\$6,266
	Days' sales uncollected	73 days	66 days	71 days	70 days	73 days

Learning Objective

P4 (Appendix 8-A):
Describe use of documentation
and verification to control cash
disbursements.

Appendix 8A:

Documentation and Verification

Purchase Requisition

Purchase Order

Invoice

Receiving Report

Invoice Approval

- **Accounting department will record purchase and approve payment after all documents are in order.**
- **Information across all documents are verified.**
- **Invoice approval also called check authorization.**
- **Checklist of steps necessary for approving invoice and payment.**

Voucher

- **Voucher is complete after invoice has been checked and approved.**
- **Used to authorize recording obligation.**
- **Certain information is required on the inside of a voucher.**
- **Certain information is also required on the outside of a voucher.**